



Literature review on the fiscal impact of immigration

KEIRE MURPHY, EVAN CARRON-KEE, ANOUSHEH ALAMIR
AND DANIEL CAPISTRANO



LITERATURE REVIEW ON THE FISCAL IMPACTS OF IMMIGRATION

Keire Murphy

Evan Carron-Kee

Anousheh Alamir

Daniel Capistrano

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The Authors

Keire Murphy is a Senior Policy Officer at the Irish National Contact Point of the European Migration Network Ireland, within the ESRI.

Anousheh Alamir was a Postdoctoral Research Fellow in the ESRI.

Evan Carron-Kee is a Research Assistant in the ESRI. Daniel Capistrano is a Research Officer at the ESRI.

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EXECUTIVE SUMMARY

As immigration has become more salient in Ireland, debate over the fiscal and economic impact of migration has increased. Understanding and communicating how migration is related to public finances and the economy is crucial to informing both government strategy and the public debate. In this paper, we review literature on the fiscal impacts of migration to draw conclusions that are relevant to the Irish context. It should be noted that this is narrower than the economic impacts, relating only to the public finances rather than the broader economic impacts of migration (e.g. labour markets, growth, innovation, and productivity). The findings regarding the fiscal impact of immigration should not therefore be confused with its economic impact.

The aim of this paper is to assess what we do and do not know about the fiscal impact of immigration in general and in Ireland.

A crucial caveat to this research is that assessments of fiscal impact require several methodological decisions that can substantially change the results of the evaluation. For example, decisions need to be made about what taxes or spending to include and how to attribute them (e.g. education, pure public goods like flood defences, corporate taxes); whether to look only at a specific period, such as 2015-2020, or to try to estimate how migration will affect public finances decades into the future; what measure of impact to use; what time period to choose (as economic shocks have a significant impact on the fiscal balance of both migrants and natives); and who to count as a migrant. Data availability is also a significant challenge to building a comprehensive understanding of how immigration relates to the state's finances.

INTERNATIONAL LITERATURE

The international literature finds that the fiscal impact of migration is generally small as a proportion of GDP. Allen et al. (2025) note that several recent estimates of fiscal impact are between 0.5 per cent and 2 per cent of GDP; Caselli et al. (2024) note that it is on average neutral and estimates vary between -1 per cent and 1 per cent of GDP.

Almost all of the papers which report the fiscal impact of the migrant population as a whole find that the fiscal impact of migration is positive. Two find a neutral fiscal impact. However, the fiscal impact of different sub-groups varies. Generally, those who arrive through work-based immigration routes have more a positive fiscal impact than those who arrive through other routes, such as education, family, or humanitarian pathways (Allen et al., 2025; Migration Advisory Committee, 2025; Van De Beek et al., 2025; Varela et al., 2021). The literature also finds that higher-skilled labour migration has the most positive fiscal impact. However, most of these studies do not account for indirect economic effects, such as on job creation. Two studies which did estimate or measure indirect effects found that they were more important for low-skilled migrants, and in some cases turned their fiscal impact from negative to positive (Chassamboulli and Liu, 2024; Colas and Sachs, 2024). One historical analysis measuring long-run outcomes, capturing indirect effects, finds no negative impact of a large low-skilled immigration shock (Yao et al., 2022).

FISCAL IMPACT IN IRELAND

Several international studies have been conducted that include Ireland as a comparison in estimates of fiscal impact of immigration. These studies generally show that immigrants have a positive net contribution, except during the crash when the government was running large deficits, meaning that the fiscal impact of both migrants and natives was negative. Three reports are summarised that assessed the fiscal impact of all migration, and two that looked at intra-EU migration only.

An OECD report compared the fiscal impact of immigrants in 25 countries between 2006 and 2018. The individualised net fiscal contribution of immigrants is found to be positive for all countries, including Ireland where immigrants have a net contribution of 1.57 per cent of GDP (close to the observed countries' average of 1.56 per cent). Thus, immigrants are found to give more in taxes and social contributions than they receive in benefits and services (e.g. healthcare, education, social protection). The same is observed among the native-born. When expenditure on congestible public

goods¹ is included, the net fiscal contribution of immigrants remains positive in most countries. This includes Ireland, where immigrants contribute 0.62 per cent of GDP. This suggests that immigrants fully finance their share of expenditure on congestible public goods. When pure public goods (e.g. military spending, flood defences, running the legislature) are also apportioned per capita to immigrants and natives, the total net fiscal contribution of both natives and immigrants is found to be negative in most countries, with an even more negative impact for natives than for foreign-born. Ireland in particular had an impact of -0.21 per cent of GDP for foreign-born residents, and -6.12 per cent for natives. According to the authors, these negative figures were due to countries running budget deficits between 2006 and 2018. In Ireland, this is strongly influenced by the post-2008 recession and the resulting large budget deficits, and does not account for the major budget surpluses of recent years. The authors also calculate the fiscal ratio, finding that foreign-born residents in Ireland contributed 52 per cent more than they received, compared to 14 per cent for the Irish-born natives.

Research by the Joint Research Centre (2020) found that in Ireland, natives, non-EU migrants and EU migrants all had a positive fiscal impact between 2015 and 2019. They found that non-EU migrants have a more positive fiscal impact (€1,047 per capita) than natives (€940 per capita), and that EU migrants have the most positive (€1,718 per capita). Ireland is among the only eight EU countries with higher net contributions from non-EU migrants than natives. As migrants are, on average, younger than the natives, the report then estimates life course net fiscal benefits of non-EU migrants under several scenarios. The report finds that Ireland is among the ten countries with the highest projected gains from non-EU migrants by 2035, based on the assumption that integration will gradually improve. However, it is not clear if this positive impact holds over the entire life-cycle, meaning that labour market integration and migration trajectories are important factors in assessing the long-term fiscal impact of immigration.

The evidence suggests that immigration in Ireland has generally positive fiscal effects, shaped largely by migrants' labour market

¹ Congestible public goods are public goods for which the cost of provision increases with population size, e.g. water, police services and public transport. The authors assume that the marginal cost of provision equals the average cost. Thus, the government's expenditure on congestible public goods is apportioned per capita to the native-born and immigrants alike.

integration and the broader economic context. Ireland is an unusual case study because of the scale of the 2008 crash, and the subsequent unemployment and budget deficits. It is also now unusual because migrants have a much smaller employment gap (particularly non-EU migrants) compared with other EU countries, and immigrants in Ireland are much more highly-educated than the EU average (again, particularly non-EU citizens).

SUMMARY

Taken together, the literature shows that immigrants generally fully finance their own public services, and also contribute to public goods that would need to be financed anyway, except when the budget is in significant deficit (as it was after the 2008 crash). However, even then, migrants are less of a fiscal burden than natives. This makes it clear that the fiscal impact depends on broader economic conditions but also employment rates and labour market integration. The evidence also makes it clear that the demographic composition of the migrant population is a crucial determinant of the fiscal impact, and also suggests that occupational downgrading worsens the potential economic and fiscal benefits of migration. This indicates that integration policies, including labour market integration, language, vocational education, recognition of qualifications, and permission to access the labour market matter for the question of the fiscal and economic impact of migration. Life-cycle impacts indicate that whether migration is a fiscal burden or benefit in the long run depends on integration as well as migration decisions made by migrants.

There are some important limitations to fiscal impact analyses of migration. For instance, these studies do not take into account the broader context in which the economy and society depend on migrant labour. For example, fiscal impact analyses do not consider the social impact of migrants' role in care and domestic work, where migrants provide essential but low-paid social services – meaning certain migrants may have a negative fiscal contribution, while being essential to key parts of the economy. They also do not account for unpaid care and domestic labour, as well as the benefits of unpaid care work which developed countries like Ireland reap from global care chains (Yeates, 2012). Most analyses also do not model complex indirect economic effects, such as impacts on job creation or innovation (e.g. Capoani et al., 2024), or displacement impacts on the labour market (whether

migrants displace native labour or fill low-paid roles enabling natives to take higher paid roles (e.g. Cortés, 2023)). These effects are important to understanding the wider impact of migration, but require researchers to make a wide range of assumptions, leading to greater uncertainty in findings, meaning they are often less useful for influencing policy. The actual impact of migrants on the economy and fiscal position of the state is therefore broader than what can be captured in an analysis of fiscal contribution. For a meta-analysis of the broader economic impact of migration, see Luz, 2024.

CHAPTER 1

Introduction

As immigration increases in salience in Ireland, the fiscal and economic impact of migration has become an increasing point of debate. Understanding and communicating how migration is related to public finances and the economy is crucial to inform policy development and the public debate. While the economic costs and benefits of migration are a frequent part of the public debate in Ireland, there is limited recent research on what the fiscal impact of migration is in Ireland. Although there is an extensive international literature on the question, Ireland presents some unusual characteristics that are important to understand before drawing conclusions from this literature.

Any assessment of fiscal impacts is a complex endeavour that requires several conceptual clarifications. In this literature review, we present the main conceptual and methodological challenges associated with the evaluation of the fiscal impacts of immigration, as well as an overview of findings from major studies conducted in the field recently.

This literature review has a narrow focus on the fiscal implications of migration. This is a practical decision to reduce the scope of the review avoiding an even more complex literature on overall economic impacts that incorporate more aspects such as labour market effects on specific sectors, overall economic context and long-term dynamics. The focus on fiscal balances may overlook many channels through which immigrants contribute to economic growth, innovation and productivity. As a result, the fiscal estimates presented here capture only a subset of the overall economic value generated by immigration. The findings regarding the fiscal impact of immigration should not therefore be confused with its economic impact, although some measures of fiscal impact try to take account of some of the broader economic impacts of immigration.

Primarily, it is important to emphasise that the evaluation of fiscal impacts of immigration involves several decisions that can substantially change the results of the evaluation. Here we present broad categories that distinguish studies in the field:

- **Budget scope:** What is considered an expenditure or revenue is a relevant initial decision that has several theoretical and practical implications. Some studies, for instance, focus on direct taxes and benefits to provide a direct evaluation as to whether immigrants contribute or receive more from the public budget. Other studies consider transfers in the forms of in-kind services such as education, healthcare, social work and local services. How costs and benefits are attributed to different groups (e.g. pure public goods like defence, corporate taxes) can have an important impact on the outcome of studies.
- **Temporal scope:** There are two main approaches to the time horizon of the fiscal impact studies. A static approach (Hennessey and Hagen-Zanker, 2020) utilises a narrower time-window based mainly on a snapshot of current costs and direct contributions. On the other hand, a dynamic approach accounts for longer-term impact that considers life-cycle projections and long-run potential contributions or costs as the integration of the immigrant population takes place. This requires an understanding or estimation of the likely migration trajectory of these populations.
- **Migrant population:** This literature review is based solely on studies about the immigrant population, so it does not take into consideration potentially related impacts of emigration. In addition, studies on this topic also emphasise the heterogeneity of the immigrant population as an additional challenge for high-level interpretation of the findings. There is usually a high variety in the educational level, skills, ages, family composition, legal status, work and welfare entitlements, and work experiences within the migrant population which leads to different levels of fiscal impact. Researchers also need to decide who to count as a migrant. This is particularly challenging in Ireland because the 'born abroad' measure includes Irish citizens born abroad to emigrants and people born in Northern Ireland, and basing the measure on citizenship does not include naturalised immigrants, a particular problem due to Ireland's high naturalisation rates.
- **Institutional context:** Finally, the national and local institutional arrangements of integration can change the fiscal impact and may produce different fiscal impacts across different regions or periods of time. These institutional arrangements of incorporation into the labour market or welfare system interact with characteristics of the

migrant population generating additional complexity in the impact evaluation. To take an example from Ireland, the granting of the right to work for asylum seekers in 2018 or the expansion of access to the labour market for spouses of employment permit holders in 2024 likely changes the fiscal impact of these groups.

To provide an overview of recent studies conducted on this topic, we reviewed academic and policy papers published since 2021. Restricting this section of the review to a five-year window means we consider only the most relevant and up-to-date international studies. A systematic review of the entire literature would be insightful, but it is beyond the scope of this paper. It is important to note that this restriction only applies to this section. We consider older papers both in our methodological overview above and in Chapter 3, where we focus on Ireland. We used two major indexing platforms, Google Scholar and Scopus, to identify papers. The results of both queries were assessed for their relevance in relation to the topic as well as the format (prioritising journal articles and reports from research institutions) and publisher. For practical reasons, we restricted our review to documents written in English. Preference was given to scientific articles published in high impact academic journals as well as policy papers published by major organisations such as the Organisation for Economic Co-operation and Development (OECD) and the European Union. Following this initial query and review, further publications were consulted based on the references included in this initial set of documents.

In the following section, we provide a brief overview of Ireland's recent history and current context in relation to migration. In Chapter 2, we provide an overview of the main approaches, limitations, and current international evidence in relation to the fiscal impact of immigration. This is based on studies conducted over the past five years. It is important to clarify that most of the literature on the topic has been produced in Europe or the US, especially the literature in English. In Chapter 3, we focus specifically on Ireland. Although no studies on this topic have focused on Ireland, we review several comparative studies that included Ireland. Chapter 4 provides a conclusion to the report, summarising the main points from the international and comparative literature as they pertain to Ireland.

1.1 ECONOMIC AND MIGRATION CONTEXT

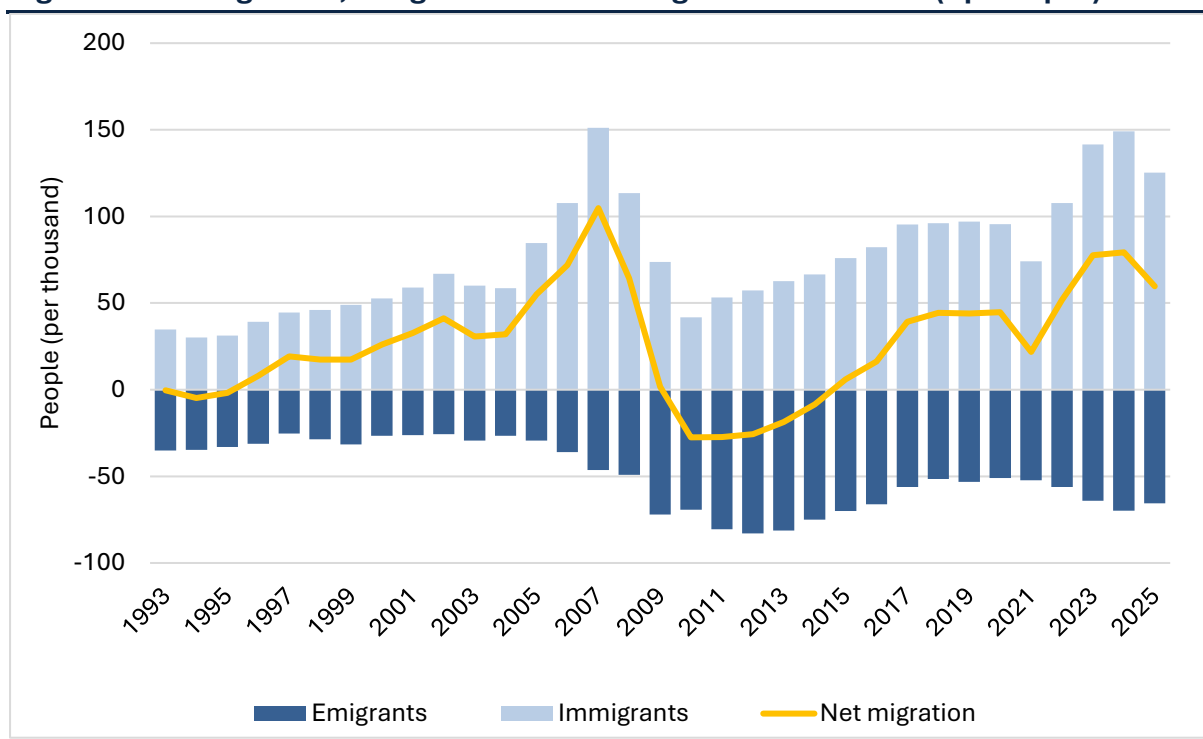
Both the economic and migration context are important for framing the question of fiscal impacts of immigration. Ireland has experienced significant economic change in recent decades, and was heavily impacted by the 2008 recession (see e.g. Barrett et al., 2010).

However, the economy has recovered significantly since then and has recorded consistent growth, fiscal surpluses, and full employment in recent years (see e.g. Irish Fiscal Advisory Council, 2025; Barrett et al., 2025). The fiscal surpluses are particularly important for contextualising the fiscal impact of immigration in Ireland. Corporate taxes play a key role in these surpluses, in particular the corporate taxes paid by multinational companies (Irish Fiscal Advisory Council, 2025).

Immigration has become increasingly salient in Ireland in recent years (Laurence et al., 2024; Eurobarometer, 2025), in part due to higher migration flows overall but in particular due to higher arrivals of forced migrants, both from Ukraine and other countries.

Ireland's migration trend has closely tracked the performance of the economy, with increased net immigration until the 2008 crash, followed by net emigration. As the economy recovered, net immigration returned (see Figure 1.1). COVID-19 then caused a temporary dip in immigration. Arrivals from Ukraine represented the largest arrival of humanitarian migrants in Ireland's history, with 121,048 arrivals up to February 2026, half of whom arrived in 2022.² This caused an increase above the trend in 2022/2023/2024, which has now returned to track the previous trend more closely. Even with migration from Ukraine, net immigration in recent years has not surpassed its peak in 2007, according to CSO estimates. This is due to higher levels of emigration compared to the pre-recession era.

² <https://www.cso.ie/en/releasesandpublications/fp/p-aui/arrivalsfromukraineinirelandseries18/>

Figure 1.1 Immigration, emigration and net migration 1993-2025 (April-April)

Source: CSO (2025). 'Population and migration estimates, April 2025', extracted 2 September 2025.

However, the nationalities of people migrating to Ireland have changed since 2007. There are now substantially fewer arrivals from Eastern EU countries, as these arrivals dropped significantly after the 2008 crash and have never recovered to their pre-2008 levels (see Murphy et al., 2025). As a result, labour shortages have increasingly been filled by non-EU migrants, with the employment permits system expanding to meet the increased need for labour from outside the EU (Murphy et al., 2025; Potter et al., 2025; Murphy and Sheridan, 2023). At the same time, international protection arrivals increased significantly from quite low levels by European standards to relatively high levels per capita. The trend peaked in 2024, when 18,561 people applied for international protection. Applications have since dropped back to 2022/2023 levels of around 13,000, still significantly higher than the years preceding the COVID-19 pandemic (Murphy et al., 2025; International Protection Office, 2026).³

³ There was a previous increase in international protection applications between 1996 and 2003. Since then, yearly applications have ranged between 946 and 4,781; Cuniffe et al., 2022.

CHAPTER 2

Fiscal impact of immigration

The relationship between immigration and the state's fiscal situation is a topic of broad academic and political interest. As a result there is a large body of research on this topic, from theoretical and methodological discussions to empirical cross-country comparative studies. This chapter provides a review of this literature. First, we illustrate in greater detail some major methodological decisions and technical challenges which are involved in any attempt to measure the fiscal impact of migration internationally. Second, we present a brief literature review of relevant papers published in this area since 2021. We focus in particular on reviewing papers that do not present individual results for Ireland, as these are discussed in greater length in Chapter 3.

2.1 METHODOLOGICAL OVERVIEW

Measuring the fiscal impact of migration requires the researcher to make many important decisions and assumptions, where the correct approach is not obvious or straightforward. These decisions can alter the outcome of the analysis, meaning that the same data have the potential to indicate that migrants are either net beneficiaries or net contributors to the Exchequer. Researchers must also work within the limitations of data availability. Even in the most data-rich contexts, there is never a complete picture, and researchers must make assumptions that can have a large impact on the result.

As noted in the introduction, there are two key distinctions in how the question of fiscal impact has been approached. The first is between 'static' and 'dynamic' approaches (Rowthorn 2014; Vargas-Silva et al., 2024). In the static approach, the researcher defines a period of interest – say 2015 to 2020 – and compares the fiscal contributions of migrants and natives over this period (e.g. Oxford Economics, 2018). This approach is both practical and transparent, but it introduces strong potential bias. Migrants and natives have substantially different fiscal life-cycles; while natives are likely to stay during retirement, incurring greater healthcare costs for example, migrants are more likely to retire abroad, in their country of origin, adding demand to public services in that country (Lulle et al., 2025). At the same time, if they migrate home in retirement they will spend the pension they

accrued in Ireland in that country. In the case of state pensions, this is a direct fiscal negative to the state; in the case of private pensions, it is a loss to the Irish economy as a whole. On the other hand, they may not accrue sufficient contributions for a contributory pension. Currently this is set at 520 (ten years) PRSI contributions. Research from the Department of Finance indicates that 10-40 per cent of people on an employment permit do not renew their immigration permission to stay in the State beyond two years (Department of Finance, 2025).

Dynamic approaches attempt to account for this (e.g. Varela et al., 2021). In a dynamic approach, the researcher chooses a group of migrants – say, all those who arrived between 2015 and 2020 – and models their fiscal contribution over their life-cycle, comparing it to that of the native population. However, this approach is more complex. It requires the researcher to estimate how many migrants of the cohort in question will stay in the country, for how long they will stay, and how many will have children (Rowthorn, 2014). It also requires assumptions about population growth, future labour market participation rates, and future government deficit and spending profiles (Blau and Mackie, 2017). Even if data were available on these questions from the past, there is no guarantee that this information would be a reliable indicator for more recent migrant groups. Notably, Dustmann and Frattini (2014) offer a compromise approach: they analyse immigrants over a set period of time (the static approach), but over a long period (1995-2011), with particular attention to changes in the fiscal contribution of migrants and natives in that timeframe (the dynamic approach).

The second, related, distinction is between the ‘accounting’ approach and the ‘general equilibrium’ approach (Clemens, 2022). In the accounting approach, the researcher only considers direct fiscal effects: taxes paid and benefits or services claimed (e.g. Lee and Miller, 2000). Much like the static approach compared to the dynamic approach, accounting-style studies are practical and transparent, but introduce bias. Accounting approaches can be either static or dynamic – their identifying feature is that they do not estimate any indirect macroeconomic effects caused by migration. Indirect effects may include an increase in productivity leading to greater corporate taxes, the provision of labour to enable native workers to engage in the labour market (e.g. childcare, elder care), displacement of native workers leading to lower net employment gains, or a change in economic

growth causing ripple effects throughout the economy and public finances. The general equilibrium approach estimates these indirect effects, combining complex modelling techniques with a wide range of assumptions about demography, the migrant population, and future government policy (e.g. Hansen et al., 2015). The drawback of this approach is that outcomes from general equilibrium studies are very sensitive to the assumptions they make about these indirect effects. Unfortunately, evidence is mixed or lacking about the magnitude or sign of complex macroeconomic relationships or processes which must be modelled to estimate indirect effects (Migration Advisory Committee, 2025). However, as Clemens (2022) points out, accounting studies effectively estimate all indirect effects as zero. This approach is not inherently preferable to a rough estimation of such effects, and the greater uncertainty inherent in general equilibrium approaches may be a more honest reflection of our actual knowledge regarding immigrants' fiscal impact than the precise but certainly biased results from accounting-style studies.

The distinction between dynamic/static and accounting/general equilibrium models can be used to categorise fiscal impact studies at a high level. However, there are also technical questions which are very important and present serious challenges to developing a fair and transparent estimate of migrants' fiscal impact. The following discussion is illustrative of the issues involved, rather than an exhaustive or systematic exploration of the topic.

2.1.1 Average cost vs marginal cost of public goods

Any analysis of the fiscal impact of migration must decide to what extent government spending on public goods should be attributed to natives and to migrants. This includes government expenditure such as on education or healthcare. In general, the cost of 'pure' public goods is attributed to natives only. These are expenditures which are almost completely unrelated to the arrival of migrants in the country, such as defence spending, flood defences, or interest payments on pre-existing national debt. However, identifying what portion of expenditure is directly related to the increase in population brought about by immigration, and what portion would have been spent anyway, is more challenging in other contexts, such as education. Given these challenges, both Dustmann and Frattini (2014) and Rowthorn (2014) analyse two extreme alternatives to produce lower and upper bound estimates for migrants' fiscal contribution: average

cost and marginal cost. In the average cost approach, all expenditure, including pure public goods, is split between migrants and natives according to their respective proportion in the relevant population (e.g. migrants' share of the child population determines their share of education spending). This provides a lower bound for migrants' fiscal contribution. Under the marginal cost scenario, no government expenditure on public goods is ascribed to migrants, providing an upper bound estimate of fiscal contribution.

Of course, even assuming that migration leads to a fiscal benefit for the state that offsets the increased demand on services, the state may have difficulty in expanding service provision for other, non-fiscal reasons, such as capacity constraints. At the same time, specific roles filled by migrant labour may also be essential in enabling the expansion of service provision (for example, staff shortages in healthcare are often filled by migrants in the UK (Vargas-Silva et al., 2024)). However, barriers to expanding service provision are generally considered beyond the scope of a study of the state's fiscal situation.

The question of ascribing public good expenditure to migrants and natives is further complicated by the lack of data on the usage of public services. There are many conceivable ways in which migrants are likely to differ structurally from the native population in their use of services. Vargas-Silva et al. (2024), for instance, point out that immigrants may use additional services such as translation services in hospitals, which are not typically used by the native population. On the other hand, the authors highlight that in some countries immigrants might pay additional taxes to make use of health services, like the UK's 'Immigration Health Surcharge'. In Ireland, students and some other groups are required to have private health insurance. Furthermore, immigrants are generally younger and healthier than the average native citizen, meaning they generally require less healthcare expenditure (McGinnity et al., 2025). Finally, many public services rely on low-wage labour from migrants, especially health and care work. In the absence of such migrants, the cost of providing public services may increase (Migration Advisory Committee, 2025; Vargas-Silva et al., 2024).

2.1.2 Absolute cost vs relative cost

When expressed in absolute terms, whether migrants have a positive or negative fiscal contribution tells us nothing about how they compare to the native-born population or to the average resident. For instance,

in periods of budget deficit, the average net fiscal contribution of all individuals will show as negative (though this does not imply that all individuals are net beneficiaries). This also means that headline figures about the effect of migration on the fiscal situation will be affected by government fiscal policy, rather than changes in the composition or characteristics of the migrant population. An alternative is to present migrants' fiscal contribution as a proportion of the native fiscal contribution.

2.1.3 The definition of migrant

Defining the migrant population is another question which has no straightforward answer, and which has a large potential impact on estimates of fiscal contributions, particularly in Ireland. Using citizenship presents some serious issues. First, migrants who obtain citizenship are likely the most well-integrated, so their exclusion from estimates will result in a lower value for their fiscal contribution; nor will it provide an accurate estimate of the total fiscal contribution of migrants. In Ireland, migrant citizenship rates are particularly high, due in part to the lack of a widely available long-term residence permit, and relatively quicker access to naturalisation (McGinnity et al., 2025). The main alternative definition is country of birth. There are some immediately obvious issues: some people who may not consider themselves migrants will be counted as such, including children born to Irish parents abroad, or those born in Northern Ireland, who are usually not distinguished from those born in Great Britain in our main national surveys. A problem common to both measures is the identification of second-generation migrants. Most national statistics (e.g. the Labour Force Survey, the Census) do not ask respondents about the birthplace of their parents or their parents' citizenship (e.g. McGinnity et al., 2025).

While this issue affects all research about migration in Ireland, this limitation presents a particular problem for any effort to assess the fiscal impact of migration, especially if the researcher is taking the dynamic approach. Under a dynamic approach, the researcher must take account of second-generation migrants. If there is no representative survey or census data on this population, the researcher must make assumptions about how many second-generation migrant children will be raised in Ireland, how much they will 'cost' the state in public services, what their future labour market participation rate and incomes will be, and what their emigration rate

is. While the static approach is more straightforward, it underestimates the relative fiscal contribution of groups which have more children. For instance, if some sub-group of migrants is more likely to have children than the general migrant or native population, a static approach will account for the cost to the state of the children they have now, but will not account for the contributions many of these children will make when they reach working age. It is also not clear how to account for the children of mixed couples, where one parent is born in the country and the other is born abroad (Vargas-Silva et al., 2024); should the fiscal burden of education and potential future fiscal contributions should be attributed to migrants, natives, or split between both these cases?

2.1.4 Labour displacement

Labour displacement occurs if the arrival of migrant workers leads to a reduction in the employment of native workers. Rowthorn (2014) notes that labour displacement is generally assumed not to occur in analyses of the fiscal impact of migration. In general, this is because such effects are complicated to estimate credibly, and the literature on labour displacement tends to find that such effects are small or statistically insignificant (Migration Advisory Committee, 2025). However, Rowthorn (2014) notes that labour displacement is likely to occur at least in the short term, as imperfect labour markets fail to adjust to changes in labour supply. Where labour displacement has occurred, its fiscal effects may also not be straightforward – for instance, Dustmann et al. (2017) find evidence of labour displacement in Germany, near the German-Czech border, as result of increased cross-border working by Czechs. However, they find that effects are heterogenous by native worker characteristics. Younger workers stay in the labour force, but receive lower wages, whereas older workers are less likely to be employed.

The external validity of this finding is limited, however; cross-border workers do not increase demand for goods and services in the country in which they work. In general, labour displacement may be counteracted by increased demand from migrants, and there is some evidence that they displace natives upwards due to segmented labour markets (Castles et al., 2020). The impact is therefore not straightforward, and depends on multiple assumptions about how labour markets and economies more broadly respond to migration. While evidence on labour displacement is hard to find, as Clemens

(2022) argues, zero is not inherently better than any other estimator of such indirect effects.

2.1.5 Care work, domestic work, and global care chains

Another important issue with most fiscal impact research is how it deals with the issue of care work and domestic work. Care work and domestic work encompass a wide range of activities which are necessary for the functioning of the economy, but which are rarely considered ‘economic’ or part of the economy (Mitchell, 1998). While official economic statistics have been altered in recent decades to count previously excluded kinds of economic activity – such as subsistence farming, informal work, and financial services – unpaid labour in the household is still excluded (DeRock, 2021). Problems with how fiscal impact studies treat care and domestic work may not be easily solved through methodological choices, especially given the kinds of data and methods which are available. However, they are important limitations to understand in any study of fiscal impacts.

In Ireland, adults spend an average of 16 hours on unpaid care work and 14.5 hours on unpaid domestic or housework every week (Russell et al., 2019). Unfortunately, we do not know how much unpaid care and domestic labour migrants carry out compared to natives in Ireland. However, there are serious potential implications for our understanding of the fiscal impact of migration. While unpaid labour obviously has no direct impact on the state’s balance sheet, it generates indirect impacts through the taxed economic activity which it enables and generates. Accounting for this labour might improve the fiscal assessment of migrants who appear to have a low or negative fiscal impact.

For instance, under a static analysis children are seen as a drain on the state’s finances, as over the analysis period they do not carry out economic activity. This changes under a dynamic analysis, where the research estimates the future fiscal impact of migrant and native children’s economic activity. However, raising a child requires unpaid labour. If this unpaid labour involved in raising a child were counted as economic activity, then even under a static analysis, migrant households with several children would have a substantially more positive fiscal impact. This is particularly important given the fact that such households are likely to have low or negative fiscal impacts in a

static fiscal impact analysis, and that static analyses are far more common in policy research than dynamic analyses (Rowthorn, 2014).

The particular role which migrants play in paid care and domestic work raises further issues for analyses which do not account for this type of economic activity. When someone takes up care or domestic work, they not only contribute taxes, but they may also enable someone else to enter the labour market instead of taking on those caring responsibilities. This work is of course heavily gendered, in that it is typically carried out by women. Migration has been essential to enabling increased labour market participation by women in developed economies, as low-wage migrant workers undertake the domestic and care duties women were previously expected or obligated to carry out, whether in professional childcare, nursing homes, or in an informal or domestic context (Cortés, 2023; Gammage and Stevanovic, 2019).

This has a direct positive fiscal impact, through enabling more natives to access higher paying jobs. However, as more natives access the labour market by paying migrants for various kinds of care work, those migrants must also carry out their own kind of care work. They may take on their own unpaid ‘second shift’ if they live with their family, or they may have to rely on others to do so back home if they do not. This phenomenon is known as a global care chain (see Yeates, 2012). It highlights how developed economies such as Ireland rely on unpaid care work by migrants, or by migrants’ families abroad. These contributions are not generally considered in studies of the fiscal impact of migration, but are nonetheless essential to sustaining our economy.

2.2 RECENT STUDIES

Table 2.1 shows each of the papers analysed in this brief literature review. The review was mostly limited to papers published since 2021. Papers that present results specific to Ireland are reviewed at greater length in the next section, although we include them in this table to report on their headline results. We exclude literature on the relationship between migration and other aspects of the economy, such as growth, employment, or innovation.⁴ While these topics are

⁴ For a recent review of this topic, see Luz et al. (2025), who conduct a meta-analysis of 41 empirical studies across different regions of the world, compiling about 1,400 effect size estimates of

related to the state's fiscal situation, we limit our review to only those papers which directly deal with the fiscal impact of migration.

Broadly, where the magnitude of fiscal impact is discussed, it is found to be relatively small as a proportion of GDP. Allen et al. (2025) note that several recent estimates of fiscal impact are between 0.5 per cent and 2 per cent of GDP; Caselli et al. (2024) note that it is on average neutral, and estimates vary between -1 per cent and 1 per cent of GDP; the OECD (2021) find that migrants have a neutral fiscal impact on average. While these figures may appear substantial, they indicate that migration has a mostly marginal effect on the long-term fiscal situation. For instance, Christl et al. (2022) assesses the impact of migration on ameliorating the long-term negative fiscal effects of ageing in Europe. They find that migration has a positive fiscal impact, but the positive impact of migration is not large enough to offset the negative impact of ageing. Even if migrants have a relatively large positive fiscal impact, there are simply many more natives than migrants, limiting the impact which migrants can have on economy-wide trends like ageing.

The OECD (2021) provides a useful breakdown of how the generally positive fiscal contribution of migrants comes about. On average, immigrants across the OECD contribute less in taxes and other income. However, governments across the OECD also spend less on immigrants per capita. While they spend more on immigrants in the areas of family and children, unemployment, social exclusion, and housing, they spend less on immigrants in the areas of old age, sickness and disability, education, and health. The net result is that expenditure is less on immigrants per capita. This effect is therefore mostly driven by the younger age profile of migrants compared to the native-born.

immigration on economic performance. They find significant variation across studies, but find that migration has a positive impact on average on economic growth, productivity, the employment rate and innovation.

Table 2.1 Recent studies on the fiscal impact of immigration

	Area of analysis	Irish results?	Methods	Results
Allen et al., 2025	-	No	Literature review	Positive Fiscal Contribution (FC) for high-skilled migrants; negative for low-skilled and refugees but integration policies matter
Caselli et al., 2024	European Union	No	Literature review	Neutral on average, except for some sub-groups
Chassamboulli and Liu, 2024	United States	No	General equilibrium model	Legal immigrants have positive FC due to taxes paid; illegal immigrants have positive FC due to effects on job creation
Christl et al., 2022	European Union	No ⁵	Microsimulation using EUROMOD; both dynamic/ life-cycle and static accounting approaches	Static approach shows intra-EU migrants have more positive FC, followed by non-EU migrants and then natives; life-cycle shows natives have more positive FC, followed by intra-EU migrants, and then non-EU migrants. In all cases, FC is negative
Colas and Sachs, 2024	United States	No	Estimates indirect effects across low- and high-skill migrants	Finds that the indirect FC of low-skilled migrants is large, and may outweigh negative direct effects
Kapsalis, 2021	Canada	No	Static approach, accounting approach	Economic immigrants have positive fiscal contribution; refugees and sponsored immigrants (such as family of permanent residents) have negative contribution
Migration Advisory Committee, 2025	United Kingdom	No	Static and dynamic accounting approaches	Skilled worker (SW) visa migrants have positive FC; family and dependents of SW visa migrants have negative FC
Varela et al., 2021	Australia	No	Dynamic accounting approach	Average permanent migrant has a positive FC; family and humanitarian permanent migrants have a negative FC
Van de Beek et al., 2025	The Netherlands	No	Dynamic accounting approach	Labour migrants have positive FC; migrants for education, family, and asylum have negative FC
Yao et al., n2024	United States (Mariel Boatlift)	No	Natural experiment using synthetic controls; cross-sectional static approach	No fiscal effect on local government of unexpected influx of migrants to Miami

Contd.

Table 2.1 Contd.

	Area of analysis	Irish results?	Methods	Results
Österman et al., 2024	European Union	Yes	Static accounting approach	FC of migrants is positive in EU; very little difference in migrant FC between types of western EU welfare state regimes
OECD, 2021	OECD	Yes	Static accounting approach	Positive FC on average across all OECD countries, estimates range between -1 per cent and 1 per cent over the period 2006-18 for most countries
Joint Research Centre, 2020	European Union	Yes	Static and dynamic; microsimulation modelling	Positive fiscal contribution for all migrants and natives; highest for intra-EU, then natives, then lowest for extra-EU migrants
Nyman and Ahlskog, 2018	EEA	Yes	Static accounting approach	Intra-EU migrants have positive fiscal contribution, between -0.5 per cent and 0.5 per cent of GDP

Almost all of the papers that report the fiscal impact of the migrant population as a whole find that the fiscal impact of migration is positive, while others find a neutral or negative impact depending on the context and methodology. However, most studies find that the sign of migrants' fiscal impact varies depending on which sub-group of migrants are being analysed. Christl et al. (2022) and the Joint Research Centre (2020) find that intra-EU migrants have a more positive fiscal impact than non-EU migrants in the EU. Several studies find that migrants who arrive through work-based immigration routes have more positive fiscal impacts than those who arrive through other routes, such as education, family, or humanitarian routes (Allen et al., 2025; Migration Advisory Committee, 2025; Van De Beek et al., 2025; Varela et al., 2021). This is perhaps unsurprising, as securing employment is generally a precondition for work-related migration routes. Work-related migration routes may also specify minimum incomes which are high relative to the average wage (e.g. Migration Advisory Committee, 2025).

However, all of the above cited studies take the 'accounting' approach to measuring the fiscal impact of migration. As Clemens (2022) notes,

⁵ Christl et al. (2022) do not present individual results for Ireland. However, that article draws heavily on a previous JRC report, Christl et al. (2021). This JRC report does present Irish results, and is reviewed in Chapter 3.

these studies dominate the literature as they are more transparent and straightforward than general equilibrium approaches and are easier to carry out, especially given that data are necessarily limited. However, economically there is no justification for assuming that the indirect effects of migration are zero. In their recent report, the Migration Advisory Committee (2025) acknowledge that they do not model these effects, but claim that they are generally small and therefore not substantive. While this may be the case for the magnitude and sign of fiscal impact as a whole, two recent studies show that indirect effects are very important for low-income migrants.

Chassamboulli and Liu (2024) find that both legal and illegal immigration in the US has a positive fiscal impact, but that legal migrants' positive fiscal impact derives from taxes paid, and that illegal migrants' impact derives from their (indirect) effects on job creation. Also in the US, Colas and Sachs (2024) find that the indirect effect of low-skilled migrants has a fiscal benefit for the US that may outweigh the direct negative fiscal effect.

While the external validity of these findings may be limited, they do suggest that the accounting approach to fiscal impact studies may be unfair to low-income migrants. In the European context, both Vargas-Silva et al. (2024) and the Migration Advisory Committee (2025) speculate that the role of migrants in filling low-wage public sector roles may support the provision of public services at lower costs, thereby improving the fiscal situation.

Yao et al. (2022) provide additional evidence for the importance of indirect effects in measuring the fiscal contributions of low-skilled or low-income migrants, albeit at the level of local city government, rather than at the federal or national level. They take a different approach to the typical fiscal impact study; rather than making projections based on recent data about migrants, or focusing on all migrants over a set period, they exploit a unique historical situation to estimate the causal effect of migration on fiscal impact. They focus on the 1980 Mariel Boatlift, when 125,000 Cubans left for the United States, mainly Miami. This was a large and unexpected shock, where many low-skilled migrants arrived in Miami, increasing the city's population by 8 per cent. These unique conditions make the event an ideal case study for economists studying the impact of migration on the labour market (Borjas, 2017; Card, 1990). Yao et al. (2022) provide

the first study of the fiscal impact of the boatlift. One advantage of studying a historical event in this manner is that the analysis necessarily captures all indirect or long-run effects on the state's fiscal situation.

To test the impact of the boatlift, they construct a synthetic control case against which to compare Miami's long-run local fiscal outcomes. The Cubans who arrived in 1980 were less educated and more likely to work in low-skilled occupations than Miami's pre-existing Cuban population, and also included a large number of prisoners and patients from mental health facilities. This is therefore an important case study to understand and estimate the indirect effects of low-skilled migration. Yao et al. (2022) find no evidence of a significant fiscal impact as a result of this sudden influx of low-skilled Cubans. While they cannot test specific indirect pathways, they speculate that effects on the local labour market over the long run led to the null fiscal effect. There are obvious limitations to the applicability of these findings: they focus on local city government rather than national effects, they result from a unique historical situation which is unlikely to be comparable to current migration patterns, Miami had a large Cuban community which may have helped the new migrants to integrate, and both Miami, Dade County, and the Florida state government received federal funding to help with migrant processing and integration. However, they provide strong evidence that indirect effects are particularly important for assessing the fiscal impact of low-skilled migrants, and that in this context a sudden influx of low-skilled migrants did not represent a fiscal burden for local government.

CHAPTER 3

Fiscal impact of immigration in Ireland

In this section, we review studies that provide estimates of the fiscal impact of immigrants in Ireland. While the Great Recession took a toll on the fiscal impact of both natives and foreign-born (OECD, 2013), most studies show that immigrants have generally had a positive net contribution over recent decades.

It should be noted that most comparative studies use GDP to compare fiscal impact estimates between countries. This presents some unique problems for Ireland. In recent years, as major multinational companies have established their European headquarters in Ireland, Ireland's GDP has been inflated by profits from these companies. These profits do not stay in the Irish economy but instead go to their owners abroad. For this reason, a more accurate reflection of the size of the Irish economy is GNI (Gross National Income), which excludes these profits. However, both GDP and GNI are also inflated by the outsized role of aircraft leasing, intellectual property, and redomiciled PLCs in the Irish economy. This is the result of accounting practices which do not reflect the 'real' activity in the Irish economy, as a significant proportion of these figures are reported here but go straight to owners of companies abroad.⁶ For this reason, the CSO has developed 'modified GNI' (GNI*), which excludes aspects of intellectual property, aircraft leasing, and redomiciled PLCs from the calculation of GNI. For further details, see CSO (2025). While GNI* is a much more accurate representation of the domestic Irish economy, comparative studies which present results across a wide range of countries do not typically make exceptions or change their analytical approach to improve comparability to Ireland. This means that in many of the studies we review here, measures of the size of the Irish economy will be substantially inflated. While this should not affect comparisons between migrants and natives within Ireland, it does limit the validity of comparisons between Ireland and other countries.

⁶ See CSO (n.d.) 'Modified GNI'. Available at www.cso.ie

3.1 RESEARCH ON THE FISCAL IMPACT OF ALL MIGRATION

3.1.1 OECD (2013) and OECD (2021)

A review published by the OECD (2013) was the first comparative international study of the net fiscal impact of migration, covering a broad range of member countries from 2007 to 2009. While Ireland was among the few countries with a negative net fiscal contribution of migrant households during those years, this was also the case for native households, reflecting the impact of the Great Recession and the scale of the Irish budget deficit.

In their more recent report published in 2021, the OECD compared the fiscal impact of immigrants in 25 countries over the longer period of 2006 to 2018 (OECD, 2021). In all observed countries, immigrants were found to have contributed more through taxes and contributions than governments spent on their social protection, health and education. The total net fiscal contribution of immigrants was small throughout the period and generally depended on the size and composition of the immigrant population (in particular age and employment rates), as well as the structure of the host country's public budget, and the business cycle.

The report focuses on foreign-born individuals living in the host country each year. It first looks at the fiscal contribution of the overall immigrant population in each country, on average, from 2006 to 2018. Their net fiscal contribution is the difference between their taxes and contributions and the costs of the benefits and public services they receive.⁷ The individualised net fiscal contribution of immigrants is found to be positive for all countries, including Ireland where immigrants have a net contribution of 1.57 per cent of GDP, close to the sample average⁸ of 1.56 per cent (although the Irish figures are likely underestimated given the issues with Irish GDP, as discussed above). The net fiscal contribution of the Irish-born population is also positive, at 2.87 per cent of GDP.

⁷ Different approaches are used to model/attribute different types of spending e.g. most health and education spending is demographically modelled; social protection is based on reporting from the Labour Force Survey.

⁸ The sample average is the average across all 25 countries observed over the period 2006-2018.

When expenditure on congestible public goods⁹ is included, the net fiscal contribution of immigrants remains positive in most countries. This includes Ireland, where immigrants contribute 0.62 per cent of GDP; close to the sample average of 0.88 per cent of GDP. This suggests that immigrants fully finance their share of expenditure on congestible public goods. This is in contrast to the Irish-born; Ireland was the only country in the sample where the native born group had negative fiscal contributions (-2 per cent of GDP) when congestible public goods were included. This likely reflects the scale of budget deficits during the crash, and therefore is likely to be quite different if the study period included only recent years. We note that in this calculation, the marginal cost of provision of congestible goods is assumed to be equal to the average cost.

The report also measures the share of governments' expenditure on pure public goods (e.g. defence, interest on public debt, running the legislature)¹⁰ that is financed by immigrants.¹¹ Ireland had an average share of 12 per cent in the period from 2006 to 2018, slightly higher than the overall sample median of 10 per cent. This means that immigrants financed a higher than average share of Ireland's pure public goods during this period.

When pure public goods are apportioned per capita to immigrants and natives alike, the total net fiscal contribution of both natives and immigrants is found to be negative in most countries, with an even more negative impact for natives than for foreign-born. Ireland had an impact of -0.21 per cent of GDP for foreign-born residents, and -6.12 per cent for natives. According to the authors, these negative figures were due to countries running budget deficits between 2006 and 2018. In Ireland, this is strongly influenced by the post-2008 recession and subsequent large budget deficits, and does not account for the major budget surpluses of recent years. In Ireland, as in other countries, attributing the cost of pure public goods to both immigrants and

⁹ Congestible public goods are public goods for which the cost of provision increases with population size, e.g. water, education, health, police services and public transport. The authors assume that the marginal cost of provision equals the average cost. Thus, the government's expenditure on congestible public goods is apportioned per capita to the native-born and immigrants alike.

¹⁰ Pure public goods have a marginal cost of zero and a cost of providing them that does not change with population size, e.g. defence services, interest on pre-existing public debt, or running executive and legislative organs.

¹¹ This is calculated by the net fiscal contribution of immigrants as a percentage of GDP divided by the host country's expenditure on pure public goods as a percentage of GDP.

native-born improves the fiscal contribution of the native-born (in Ireland from -6.95 per cent to -6.12 per cent of GDP), because the costs of pure public goods are split over a larger population.

The report points out that cross-country differences in the magnitude of the net fiscal contribution of immigrants are partly caused by a difference in the size of the immigrant population. They thus provide another measure: the fiscal ratio of immigration. This is calculated as the ratio between the government revenue contributed by immigrants and the government expenditure on immigrants. The same ratio can also be calculated for the native-born group. A ratio greater than one indicates that the group contribute more than they receive. Using that measure, Ireland is among the third of countries for whom the fiscal ratio of the foreign-born is considerably larger than that of the native-born (1.52 versus 1.14). This means that the foreign-born contribute 52 per cent more than they receive, while the native-born contribute 14 per cent more than they receive in Ireland, when items at the individual-level only are considered. When all public goods are apportioned per capita, both groups have a ratio below 1 (due to budget deficits during those years) but immigrants' contribution is still higher than the native-born (0.96 v 0.81).

3.1.2 Joint Research Centre (2020)

The Joint Research Centre (2020) also published a report in which they estimate the net fiscal impact of migrants between 2015 and 2019 in the EU. This is calculated by subtracting the sum of all the yearly benefits received by each individual to their income taxes and social insurance contributions.

Ireland is found to be one of the EU countries with the smallest gap between the average net fiscal impact of working age natives and non-EU migrants (€940 and €1,047 per capita, respectively). The authors also estimate the intra-EU migrants' net fiscal contributions at €1,718 per capita. In comparison, the EU as a whole is found to have positive annual net fiscal contributions of around €407 per capita for natives, €47 for non-EU migrants and €3,118 for intra-EU migrants. Ireland is among the only eight EU countries with higher net contributions from non-EU migrants than natives. The report then estimates life course net fiscal benefits of non-EU migrants under several scenarios. The report finds that Ireland is among the ten countries with the highest

projected gains from non-EU migrants by 2035, based on the assumption that integration will gradually improve.

3.1.3 Christl et al. (2021)

Christl et al. (2021), in a Joint Research Centre working paper, combine static microsimulation modelling with a life-cycle approach to estimate the long-term implications of immigration. Looking at trends in immigration first, the authors point out that Ireland was amongst the few countries with more intra-EU than non-EU immigrants. Looking at the average net contributions in 2013,¹² Irish native households show the most negative contributions of all Member States, at around -€2,500.¹³ This is most likely due to the lingering effects of the crisis, as Ireland was still in a budget deficit that year.¹⁴

Non-EU and intra-EU households both show net contributions that were close to zero in 2013. As the differences between natives and migrants can be driven by differences in the age structure between the groups, the report also analyses the life cycle deficit (LCD).¹⁵ All three types of households showed a negative life cycle deficit in Ireland based on the 2013 data. The LCD is about -€3,000 for native households, and -€4,000 for both types of immigrants. This is in line with most other EU countries which also show a more negative fiscal impact over the life-cycle for migrants than for natives. We however note that these simulations are based on 2013 to 2015 data, and thus the budget conditions and demographical structure of the time. As with all dynamic or life-cycle approaches, the authors made several assumptions and simplifications to produce their results. Particularly because 2013-2015 was an unusually negative period fiscally for Ireland, these findings should be interpreted with caution.

Finally, the authors point out that differences between countries reflect differences in the characteristics and history of migration between Member States. For example, gaps between the natives and intra-EU migrants are smallest among traditional welfare states, states

¹² The authors note that 2013 data are used for Ireland, but they are uprated to be 2014 equivalent by using the country-specific Consumer Price Index, assuming no expenditure change in real terms.

¹³ The net fiscal impact is the difference between the taxes paid and the transfers received.

¹⁴ See <https://www.cso.ie/en/releasesandpublications/ep/p-mip/measuringirelandsprogress2013/economy/economy-finance/>

¹⁵ The LCD is calculated according to migration status. It is assumed that an individual has the Average Net Fiscal Impact of the specific age group over his/her life-cycle (0 to 80 years).

(e.g. Austria, Belgium, Denmark, the Netherlands), showing that better integration into the labour market is key to improving immigrants' fiscal contribution.

3.2 RESEARCH ON THE FISCAL IMPACT OF EU MIGRATION

Some studies focus only on EU migrants. While this does not provide a full account of the fiscal impact of immigration, it still provides useful insights for understanding the Irish case.

3.2.1 Nyman and Ahlskog (2018)

Nyman and Ahlskog (2018) undertake a cross-country estimation of the fiscal effects of migration of EU citizens within the EEA. They use a static accounting model where government expenditures and revenues to and from a household within a given time period are added up. Matching EU-SILC data with National Account statistics, they find that for most EEA countries, the net fiscal effect of hosting EU migrants appears to be ± 0.5 per cent of GDP in the period between 2004 and 2015. In most countries, EU migrants have a larger fiscal contribution than native households. Comparing between countries, the authors find that Ireland was among the countries with the highest share of EU migrants in 2004-2015. As they point out, this suggests larger total fiscal effects, other factors being equal.

Focusing on Ireland, the authors find a positive fiscal impact of 1 per cent of GDP when taking into account the deflationary effects that the increase in GDP caused by migration has on the budget balance to GDP ratio. On the revenue side, the highest share coming from EU immigrants emerges from consumption taxes (1.66 per cent), followed by taxes on income and wealth (1.35 per cent), capital and corporate taxes (0.47 per cent), social security contributions (0.96 per cent) and sales of goods and services (0.37 per cent). All of those revenues combined amount to 4.81 per cent of GDP. On the other hand, the expenditures amount to 4.86 per cent of GDP, coming from benefits (1.30 per cent), pensions (0.17 per cent), demographically modelled expenditures (1.64 per cent), and congestible public goods (1.74 per cent). The authors also undertake a sensitivity analysis, in which they make adjustments to the indexes considered, and measure the resulting changes to their fiscal impact estimation. This provides a useful overview of the impact of different assumptions on the fiscal impact results. The following adjustments are made:

1) Wage-based allocations of pensions

The authors take into account the fact that when doing static estimations, some pension income reported by migrant households could have been paid by another country. They therefore test a semi-dynamic model based on liabilities created from wage income. In this sense, pensions are seen as a financial obligation which the government incurs when the person is working in their country. Their modelling is done by allocating pensions in proportion to the annual wage income, reflecting that most EU Member States (MS) have an earnings-related pensions system. Estimating future costs of pensions based on current pension expenditures assumes that the current annual cost for pensions equal the present value of the government's pension obligations incurred each year. With this adjustment, Ireland has the largest change to its fiscal impact (-0.28 percentage points). This negative change suggests that compared to native-born, EU migrants receive less current pension than they do wages, and thus may have larger future pension liabilities compared with what they currently receive, which may partially result from Ireland's recent migration transition compared with other Western European countries. However, the authors find a similar trend for other western EEA countries (in comparison to the eastern ones). One potential limitation of this method is that in countries like Ireland, pension eligibility also requires paying enough social insurance contributions in the country by a certain age, making it harder for some migrants to access it (Cousins, 2020). This means that wage income may not perfectly correlate to future pension liabilities, in particular due to evidence that some migrant groups stay in Ireland for short periods of time only (see e.g. Department of Finance, 2025).

2) Demographically adjusted modelled expenditures

In the main demographical model, expenditures are assumed to only be a function of age and sex. Thus, a migrant and a native of the same age are assumed to be equally costly to the government. However, the authors revisit this assumption by taking into account the possibility that EU migrants are less costly (e.g. if they consume less healthcare in the host country), while they could be more costly (e.g. if their children need more language assistance). The authors thus test how the fiscal impact changes a) if EU migrants cost 25 per cent less than natives; and b) if they cost 25 per cent more. These figures are thought to represent extreme cases. Again, Ireland is found to be one of the

countries with the highest change in their fiscal impact based on these alternative hypotheses. In scenario 'a', the fiscal benefit from EU migrants would grow by 0.17 percentage points, while in scenario 'b' it would reduce by 0.16 percentage points.

3) Adjusted consumption taxes

In the main specification, consumption taxes are measured as a function of disposable income exclusively, which assumes that EU migrants and natives have the same marginal propensity to consume. The authors revisit this by assuming instead that migrants save more or spend more of their income in their home countries. Concretely, they assume that consumption taxes are 25 per cent lower than those of natives for the same level of disposable income. Again, Ireland is among the only countries for which this greatly impacts the fiscal impact estimate; reducing it by 0.23 percentage points. This could be linked to the fact that the highest share of contributions coming from immigrants in Ireland come from their consumption taxes.

4) Pro-rata adjustments

Finally, the authors include revenues and non-congestible public goods (like defence), which are not considered in the main specification, as pro-rata items (i.e. on a per capita basis). This change does not directly affect the balance between natives and immigrants as everybody is attributed the same costs and revenues. However, it results in negative effects on the total net fiscal effects estimates, as non-congestible public goods represent an important part of government expenditures in most EEA countries. Again, Ireland has among the largest resulting change from this adjustment, with a reduction of 0.42 percentage points.

Looking at trends over time, they find that the net effect of all EU migrants in Ireland was positive from 2004 to 2007, after which it changed to a deficit of almost 3 per cent in 2010; as described above, natives also had a negative fiscal effect during this time (OECD, 2021), although Nyman and Ahlskog (2018) do not present comparable figures for natives themselves. This is linked to the fact that migrants' employment was hit particularly hard during the crisis, with a heavy decline in migrant-heavy sectors like construction and manufacturing (McGinnity et al., 2012), and an overall context of large fiscal deficit.

After that period, migrants' net contributions went back up, reaching a positive level again in 2013.

In conclusion, the report finds a generally positive and small fiscal impact of EU migrants in Ireland (as in most other countries), with negative effects emerging mainly following economic shocks, although even then the impact remains small (below 3 per cent of GDP).

3.2.2 Österman et al. (2024)

Österman et al. (2024) analyse how the fiscal effects of EU migrants vary from 2004 to 2015 across different European welfare state regimes. They classify Ireland as a 'basic security' regime, along with Malta and the United Kingdom. These countries are broadly defined as operating universal, contribution-based systems that provide flat-rate benefits while placing considerable weight on means-tested support, especially for households with children, to compensate for low social insurance benefits. Family allowances in cash are comparatively low in international terms, though provision of services in kind is medium/high. They characterise the labour market as flexible, with limited trade union influence, a sizable low-paid service sector, and relatively low levels of employment protection.

Estimating the share of EU migrants in the whole population, the report finds that Ireland had the second highest in Europe, at around 12 per cent during that period. This is likely due to Ireland granting immediate free movement to the new accession states in 2004, along with the UK and Sweden. About half of the migrants were employed at the time, a lower figure than today.¹⁶ The time period in the report includes the recession, when Ireland experienced very high unemployment rates at that time, for both migrants and natives. Note that the share of employment among all migrant groups is now much higher in Ireland, varying between 63 per cent among non-EU Europeans to 86 per cent among EU-West immigrants in 2024 (McGinnity et al., 2025).

Discussing the methodologies used to estimate the fiscal impact of immigrants, Österman et al. (2024) note that the balance of the public budget can have an important effect on whether the average resident in a country is a net beneficiary or contributor to the fiscal balance. In

¹⁶ The authors define employment as having an annual wage of at least €1,000 (Österman et al., 2024).

countries with large budget surpluses, most people tend to be net assets, while the opposite is true when countries have large budget deficits. Ireland had a budget deficit of 32.1 per cent in 2010¹⁷ and an average deficit of 7.0 per cent between 2004 and 2015, making it one of three extreme cases studied. Consequently, natives constituted a net fiscal burden during the observed period. On the other hand, migrants generated positive net fiscal effects. While the authors do not distinguish between countries, they find that the contribution of an average EU migrant household in the basic security regime (which includes Ireland) is €3,900 annually, which is the second lowest of the five observed regimes.¹⁸ According to the authors, this is explained by lower revenues compared to the other regimes. On the other hand, non-EU migrant households contribute an average of €3,000 per year, which is the second highest average of the five. Native households costed about €800 per year in the basic security regime. It was only for basic security regimes like Ireland that native households represented a net burden during the observed period. We note that this situation has likely changed in Ireland in recent years, due to large budget surpluses thanks to the end of the recession, and in particular booming corporation tax receipts (Irish Fiscal Advisory Council, 2025).

The report then estimates the aggregate net fiscal effect of EU migrants. In the basic security regime, they have a positive effect of about 0.26 per cent of GDP in 2004-2015. In conclusion, the paper finds a generally positive effect of EU migrants in all regime types, although this effect is significantly more positive in the Western regimes (including Ireland) than in the Eastern European regimes (state insurance). This is mainly explained by the fact that there has been little intra-EU labour migration to state insurance countries (i.e. Eastern EU countries), and that EU migrants residing there tend to be older.

3.2.3 Conclusion

In conclusion, the evidence suggests that immigration in Ireland has generally positive fiscal effects, shaped largely by migrants' labour market integration and the broader economic context. Ireland is an

¹⁷ This deficit in 2010 was primarily caused by the need to account for the bank-bailout costs in a single year.

¹⁸ The other observed regimes are: state insurance, universal, continental, and Mediterranean corporatist.

unusual case study because of the scale of the 2008 crash, and the subsequent unemployment and budget deficits. It is also now unusual because migrants have a much smaller employment gap (particularly non-EU migrants) compared with other EU countries, and immigrants in Ireland are much more highly-educated than the EU average (again, particularly non-EU citizens).¹⁹

The comparative research reviewed in this section consistently finds that immigrants in Ireland have more positive fiscal impacts than natives, even during the downturn (when both are negative, but natives much more so than migrants) and even when pure public goods are attributed to migrants as well as natives. This indicates that, while the overall size effects are small, migration generally has positive fiscal effects. This indicates that migrants entirely finance their own share of public goods, while also contributing to financing pure public goods which the state would need to pay for regardless of the presence of migrants in the country.

However, evidence suggests that this contribution is dampened by occupational downgrading and lower returns to qualifications. Barrett et al. (2005) draw a labour market profile of the non-Irish immigrants who arrived in Ireland between 1993 and 2003. On average, they tended to be young and highly educated, a pattern that persisted over the following two decades (McGinnity et al., 2025). However, many of them were hired in occupations below their educational level (known as an ‘occupational gap’). Barrett et al. (2005) thus estimated the impact of those migrants on the Irish labour market, taking this gap into account. They find that, had immigrants and natives been employed in an identical manner, immigrants who arrived in the previous five years would have increased GNP by 3.5 to 3.7 per cent. But the occupational gap experienced by the foreign-born population meant that the actual increase in GNP was only 3 per cent. More recent research indicates that this remains an issue in Ireland, particularly for

¹⁹ Based on Eurostat data. See ‘Population in private households by citizenship and labour status (lfsa_pganws)’ and Population in private households by country of birth and labour status (lfsa_pgacws). For example, the EU average employment rate for citizens of a non-EU country (20-64) was 64.3 per cent in 2024, compared with 76.7 per cent for nationals of the reporting country and 77.3 per cent for nationals of another EU country. In Ireland, it was 77.4 per cent for non-EU citizens, 85 per cent for EU citizens, and 79.5 per cent for Irish citizens.

some groups (Arnold et al., 2018; Polakowski and Cunniffe, 2023; Privalko et al., 2023).

Evidence also suggests that the fiscal impact is strongly dependent on age, employment rates, migrants' decisions over the long run (having children, settling and retiring in Ireland or returning home), as well as labour market integration. In Ireland, employment rates among migrants are very high, indicating that there is likely a relatively strong fiscal benefit from migration, in line with the studies reviewed above. Improvements in integration could further improve migrants' fiscal impact. Integration policies, such as labour market integration, language training, vocational education, and permission to access the labour market all impact on migrants' fiscal contribution to the state. For instance, the fiscal impact of family migration from outside the EU was likely made more negative by the policy of not allowing sponsored family members to independently access the labour market. This policy was changed in May 2024, which likely improves the fiscal impact of this group.

Estimates of the fiscal effect of migration are particularly sensitive to assumptions about future government spending and pension liabilities, which depend on migration trends, government policy, and the world economy (Nyman and Ahlskog, 2018; Vargas-Silva et al., 2024). In Ireland, it may also be unusually sensitive to the attribution of corporate taxes, as these account for 22 per cent of government revenue in 2024,²⁰ and corporate tax is responsible for a high proportion of tax revenue compared with other OECD countries (OECD, 2025). While there is limited evidence on this for Ireland, if corporations that pay significant amounts of Ireland's corporation tax are heavily migrant-dependent or migrant-led, a pro rata attribution of corporation tax may underestimate the fiscal benefit of immigration in Ireland. Relatedly, Clemens (2022) shows the importance of including capital taxes paid by employers in estimations of the fiscal impact of migration; he argues that it contradicts basic economic theory to assume that when a migrant worker is hired (assuming all else is fixed), their firm does not invest in any new capital too. The extra taxes paid on

²⁰ CSO (2025) 'Ireland's Tax Statistics 2024'. Available at <https://www.cso.ie/en/releasesandpublications/ep/p-itxs/irelandstaxstatistics2024/overviewofirelandstaxes/>

this new capital should be counted as a fiscal contribution by migrants.

It should be noted that the studies we review in this chapter all follow the accounting approach outlined in Chapter 2. They therefore do not take into account the indirect impacts of migrant labour on the economy. For example, the wider effects of migrant labour on economic growth leading to higher tax receipts are not considered (see Luz et al., 2025). Nor do they account for segmented labour markets, which imply that migrants entering the labour market support natives to take higher roles and positions (Cortés, 2023), or the positive impact on innovation (see e.g. Capoani et al., 2024).

CHAPTER 4

Conclusion and further research

Overall, the literature finds that migrants usually have a small but positive impact on public finances, and a more positive fiscal impact than natives. Most estimates of the fiscal impact of migration vary between -1 per cent and +2 per cent of GDP, indicating that the effect size is generally quite small. However, in the Irish case, the fiscal impact of migration is consistently found to be positive, according to comparative research. The only exception is during the crash, when large budget deficits meant that both natives and migrants had negative fiscal impacts. These findings indicate that, overall, migrants both finance their own share of public services and contribute to the financing of pure public goods.

However, it should be noted that the fiscal impact is sensitive to different assumptions about service usage, future migration decisions and pension liabilities, how costs are attributed to the different groups, and the broader impact of migration on the economy. In Ireland, it is also particularly sensitive to the time period chosen, due to the scale of the budget deficits experienced following the 2008 crash. More broadly, the fiscal impact of migration is dependent on the age of migrants, and employment rates, indicating that labour market integration is key to positive fiscal impacts. The literature also indicates that different groups of migrants have different fiscal impacts, with labour migrants particularly fiscally positive. The very high employment rate among migrants in Ireland, both compared with natives and compared with other EU countries, is therefore a positive indication of their fiscal impact (see McGinnity et al., 2025).

There are some important limitations to the literature on the fiscal impact of migration in Ireland. All of the studies reviewed above take the ‘accounting’ approach to measuring fiscal impact, meaning they ignore the complex indirect effects which migration has on the state’s fiscal situation via the wider impacts of migration on the economy. The limitations discussed include labour displacement of native workers, segmented labour markets where migration enables natives to take on higher paying jobs, or migrants’ impacts on specific sectors by alleviating labour shortages. In general, the fiscal impact literature also generally fails to account for the role of domestic and care work in

underpinning the economy, and the particular role played by migrants in this system.

As noted in the introduction, this literature review focused on studies about the fiscal impact of immigration. To provide a more complete assessment of the impact of migration, future efforts to summarise the evidence should consider wider economic impacts of migration.

It should also be noted that while the fiscal benefit of migration is clear, there are other issues beyond the state's fiscal situation (and therefore beyond the scope of this report) that may hinder the translation of these resources and demands into requisite service provision (e.g. capacity constraints). However, migration may also contribute to alleviating capacity constraints through the provision of labour, meaning that the relationship between these constraints and migration is not straightforward.

The studies reviewed here also emphasise the importance of high-quality data for appropriate impact assessments. Any future exercise assessing the fiscal impact of immigration in Ireland should prioritise access to high-quality data to refine assumptions and provide better estimates, as observed by others internationally (Ahmad Yar and Bircan, 2025; Blau and Mackie, 2017, Chapter 10). Current research underway as part of the ESRI Research Programme on Integration, Migration and Equality assessing actual usage by migrants of public services can support this analysis, and lead to a better assessment than an analysis based on demographics alone. As the fiscal impact of an individual changes so significantly over their life-cycle, a better understanding of migration trajectories of different migrant groups in Ireland as well as intentions to stay in Ireland or to leave would be key to assessing long-term fiscal impact.

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**Economic & Social Research
Institute**

**Whitaker Square
Sir John Rogerson's Quay
Dublin 2**

**Telephone: +353 1 863 2000
Email: admin@esri.ie
Web: www.esri.ie**

**An Institiúid um Thaighde
Eacnamaíochta agus Sóisialta**

**Cearnóg Whitaker
Cé Sir John Rogerson
Baile Átha Cliath 2**

**Teileafón: +353 1 863 2000
Ríomhphost: admin@esri.ie
Suíomh Gréasáin: www.esri.ie**

